Incidence of Tax

The point where tax looks being imposed is known as the incidence of Tax —the event of tax imposition.[3]

Impact of Tax

The point where tax makes its effect felt is known as the impact of tax—the after effect of tax imposition.[4]

Direct Tax

The tax which has incidence and impact both at the same point is the direct tax—the person who is hit, the same person bleeds.[5] As for example income tax, interest tax, etc.

Indirect Tax

The tax which has incidence and impact at the different points is the indirect tax—the person who is hit does not bleed[6] someone else bleeds. As, for example, excise, sales tax, etc which are imposed on either producers or the traders, but it is the general consumers who bear the burden of tax.

METHODS OF TAXATION

There are three methods of taxation prevalent in economies with their individual merits and demerits—

Progressive Taxation

This method has increasing rates of tax for increasing value or volume on which the tax is being imposed.[7] Indian income tax is a typical example of it. The idea here is less tax on the people who earn less and higher tax on the people who earn more—classifying income earners into different slabs. This method is believed to discourage more earnings by the individual to support low growth and development unintentionally. Being poor is